

**IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF COLORADO
Honorable Marcia S. Krieger**

Civil Action No. 09-cv-00019-MSK-MEH

UNITED STATES OF AMERICA,

Plaintiff,

v.

CEMEX, INC.,

Defendant,

**REPLY MEMORANDUM IN SUPPORT OF MOTION TO DISMISS OF DEFENDANT
CEMEX, INC. PURSUANT TO FED. R. CIV. P. 12(b)(6)**

INTRODUCTION

CEMEX, Inc. (“CEMEX”) has moved this Court to dismiss¹ the United States’ civil penalty demands in the First Amended Complaint’s First and Second Claims for Relief (Doc. 16) as time-barred. It is undisputed that the actions allegedly giving rise to these claims occurred more than five years before the commencement of this action. Moreover, these claims are not actionable under Title V of the CAA, which authorizes only claims that a source has no Title V permit or is violating the terms of that permit. In the Government’s opposing Memorandum (Doc. 38) (hereinafter “Opposition” or “Opp.”), the United States advances arguments that, if adopted by this Court, would essentially eviscerate both the federal statute of limitations and the Clean Air Act (“CAA”) Title V “permit shield,” two provisions that Congress enacted

¹ Motion to Dismiss of Defendant CEMEX, Inc. Pursuant to Fed. R. Civ. P. 12(b)(6) (Doc. 19) (hereinafter “Motion”); Memorandum in Support of Motion to Dismiss of Defendant CEMEX, Inc. Pursuant to Fed. R. Civ. P. 12(b)(6) (Doc. 20) (hereinafter “Memorandum” or “Mem.”).

specifically to protect parties from the types of claims the Government now brings against CEMEX. For these and other reasons more fully set forth below and in its Memorandum, CEMEX respectfully requests that this Court grant its Motion.

CEMEX also requests that this Court deny the Government's request to defer ruling on the Motion so that it might seek discovery on whether the applicable statute of limitations should be tolled. Not only does the Government fail to cite any cases supporting the application of equitable tolling of the statute of limitations in CAA settings, it also has not alleged any facts that would support such relief here even if the legal theory could be applied. The Government's failure to plead facts that would support a claim of fraud or concealment should be fatal to its request for a deferral.²

ARGUMENT

In its Opposition, the Government largely ignores the vast case law supporting CEMEX's position that New Source Review ("NSR") violations, under both the Prevention of Significant Deterioration ("PSD") and Nonattainment New Source Review ("NNSR") programs, are one-time violations. The Government argues that its NSR claims are not time-barred by the relevant

² CEMEX disputes the Government's proposed standard that, at the motion-to-dismiss stage, a complaint may be dismissed on the basis of a statute of limitations defense only if it appears beyond a doubt that plaintiff can prove no set of facts that toll the statute. Opp., Doc. 38, at 10, 14, 60 (citation omitted). That standard is based on *Conley v. Gibson*, 355 U.S. 41 (1957). In *Bell Atl. Corp. v. Twombly*, 127 S.Ct. 1955 (2007), the Supreme Court made clear that the *Conley* rule is not "the minimum standard of adequate pleading to govern a complaint's survival." 127 S.Ct. at 1968-69. Under *Twombly*, to survive a motion to dismiss, plaintiff must plead "enough facts to state a claim to relief that is plausible on its face" and make a showing of entitlement to relief. *Id.* at 1965 n.3, 1974. The Government claims (Opp., Doc. 38, at 14) that it disputes CEMEX's burden of proof standard as one that would only be applicable to a final evidentiary determination of whether the statutory elements of the CAA in an enforcement action have been met. However, CEMEX articulated the appropriate standard for a motion to dismiss in its Memorandum (Doc. 20, at 8). CEMEX also provided the appropriate burden of proof for CAA civil claims in its Motion (Doc. 19, at 4-6).

statute of limitations, 28 U.S.C. § 2462, because the alleged failure to obtain a construction permit is a “continuing violation” or one that “accrues anew each day.” As explained below, these arguments have been rejected by the majority of courts applying the relevant statute of limitations to the CAA and to state regulations similar to those in Colorado’s state implementation plan (“SIP”).

The Government also tries to circumvent the plain language of the CAA when it argues that its Title V claims should not be dismissed because CEMEX obtained an “incomplete” Title V permit. Finally, the Government inappropriately attempts to invoke equitable doctrines in an attempt to avoid the statute of limitations bar – but there is no support for application of these doctrines to this case, nor has the Government alleged facts necessary to support them.³

I. The Government’s PSD and NNSR Claims Are Untimely and Hence Barred by the Applicable Statute of Limitations Because, As Alleged, They First Accrued More Than Five Years Prior to the Complaint.

The Government does not respond to CEMEX’s opening argument (Mem., Doc. 20, at 9-11) that the plain language of 28 U.S.C. § 2462 bars its First and Second Claims for Relief – regardless of whether they are cast as continuing violations – because an action must be brought within five years from the date when it “first accrue[s].” 28 U.S.C. § 2462. A claim first accrues under § 2462 on the date that a violation first occurs. *New York v. Niagara Mohawk Power*

³ CEMEX initially requested that this court dismiss the United States’ claims for injunctive relief, in addition to its claims for civil penalties. This position was not based, as the Government suggests (Opp., Doc. 38, at 19), on the view that 28 U.S.C. § 2462 bars the United States’ claim for injunctive relief, but rather on a belief about the court’s inherent equitable discretion to issue such relief, factoring in such considerations as the lapse of time since the alleged violation. See Mem., Doc. 20, at 10 n.2; see also *United States v. Campbell Soup*, No. 95-1854, 1997 WL 258894, at *3 (E.D. Cal. Mar. 11, 1997) (“[T]he lapse of time will surely be relevant to the court’s decision whether or not to grant any injunctive or other equitable relief.”); *United States v. Westvaco*, 144 F. Supp. 2d 439, 443 n.2 (D. Md. 2001) (citing *Campbell Soup*).

Corp., 263 F. Supp. 2d 650, 660 (W.D.N.Y. 2003); *United States v. Ill. Power Co.*, 245 F. Sup. 2d 951, 955 (S.D. Ill. 2003); *United States v. Westvaco Corp.*, 144 F. Supp. 2d 439, 442 (D. Md. 2001). A CAA NSR violation first occurs when a major new source or modification commences construction without undertaking the requisite preconstruction obligations necessary to obtain a CAA NSR permit. 42 U.S.C. § 7475(a) (making it unlawful for major emitting facilities on which “construction is commenced” to “be constructed” unless the “proposed” facility obtains a permit with certain conditions); *Westvaco*, 144 Supp. 2d at 444 (“42 U.S.C. § 7475(a) . . . specifically indicates that violations of that provision occur at the time construction is commenced.”). The Government “acknowledge[s] that this action was not commenced within five years of the date when Defendant *began construction* of the modification at issue at Defendant’s Facility.” Opp., Doc. 38, at 15 (emphasis added); *see also* First Amended Complaint (Doc. 16, ¶ 57) (alleging that CEMEX undertook construction “beginning in 1997, and ending some time in 1999”). Thus, even assuming a continuing violation, the violation first accrued – that is, could first be prosecuted – at the time of construction.⁴ Because, by the Government’s own admission, the NSR violations alleged in this case first accrued 12 years ago – well beyond the five-year period specified in § 2462 – the civil penalty portions of the Government’s First and Second Claims for Relief must be dismissed.

As explained below, the arguments that the Government raises in its Opposition – including arguments that § 2462 does not or should not apply to its First and Second Claims for Relief – are unpersuasive.

⁴ As explained in CEMEX’s Memorandum (Doc. 20, at 13-14, 15 n.9), the CAA and EPA’s implementing regulations are clear that NSR is a “preconstruction” program, meaning that the legal requirement to obtain a permit is triggered by construction, not operation.

A. A clear majority of federal cases supports dismissal of the Government's untimely PSD and NSR claims.

CEMEX's Memorandum (Doc. 20, at 14-16) explained that the vast majority of courts analyzing the applicability of the statute of limitations to NSR claims have found that NSR violations are one-time violations that do not continue. This is still true. *Westvaco Corp.*, 144 F. Supp. 2d at 444; *Niagara Mohawk*, 263 F. Supp. 2d at 661; *United States v. Ill. Power Co.*, 245 F. Supp. 2d 951, 957 (S.D. Ill. 2003); *United States v. S. Ind. Gas & Elec. Co.*, No. IP 99-1692-C-M/F, 2002 WL 1760752, at *5 (S.D. Ind. July 26, 2002)⁵; *United States v. Murphy Oil U.S.A., Inc.*, 143 F. Supp. 2d 1054, 1083-84 (W.D. Wis. 2001); *New York v. Am. Elec. Power Serv. Corp.*, Nos. 2:04 CV 1098, 2:05 CV 360, 2006 WL 1331543, at *7 (S.D. Ohio Mar. 21, 2006); *United States v. Brotech Corp.*, No. Civ. A. 00-2428, 2000 WL 1368023, at *3 (E.D. Pa. Sept. 19, 2000); *Nat'l Parks & Conservation Ass'n, Inc., et al. v. Tenn. Valley Auth.*, 502 F.3d 1316, 1319 n.1, 1324 (11th Cir. 2007) (hereinafter "*TVA (11th Cir.)*"), *cert. denied*, 128 S. Ct. 2958 (2008); *United States v. Cinergy Corp.*, 397 F. Supp. 2d 1025, 1030 (S.D. Ind. 2005); *United States v. Campbell Soup Co.*, No. 95-1854, 1997 WL 258894, at *2 (E.D. Cal. Mar. 11, 1997); *Ogden Projects, Inc., et al. v. New Morgan Landfill Co., Inc.*, 911 F. Supp. 863, 876 (E.D. Pa. 1996); *United States v. Coastal Lumber Co.*, No. 4:01-cv-238-SPM (N.D. Fla. Dec. 23, 2001).

In fact, in the short time since CEMEX filed its Motion, yet another federal court adopted the majority position that NSR violations are one-time violations that must be dismissed if not brought within five years from the date when construction first commenced. In *Sierra Club v. Otter Trail Corp.*, No. 08-1012, 2009 WL 939575 (D.S.D. Apr. 6, 2009), the district court for South Dakota dismissed the plaintiff's PSD claims as untimely under § 2462. After surveying

⁵ Unpublished opinions are provided at Exhibit A.

the many cases finding that NSR claims accrue at the time construction is commenced, 2009 WL 939575, at *4-5, the court followed the overwhelming precedent, explaining that:

It is not the province of the district court to concern itself with any arguable unfairness in the application of a statute of limitations under certain circumstances. A statute of limitations defense is not a “disfavored” defense.

2009 WL 939575, at *8.

The Government’s attempts to cast aside the strong, mounting case law against it are meritless. First, it erroneously describes cases cited by CEMEX as relying on facts on which they do not, in fact, rely. The Government suggests (Opp., Doc. 38, at 39-40), for example, that CEMEX relies on two cases that “erroneously construe the relationship between PSD and NNSR construction requirements and the Title V program” because they “incorrectly view Title V as the ‘operating arm’ of the PSD program.” In fact, the cases cited by CEMEX, *United States v. Ill. Power Co.* and *New York v. Niagara Mohawk*, say nothing about Title V being the operating arm of the PSD program. Moreover, comparisons to Title V demonstrate that when Congress intends to impose continuing obligations, it knows how to do so. The one-time, preconstruction nature of the NSR program requirements stands in “stark contrast” to the ongoing, operational nature of the Title V permitting program requirements. *Niagara Mohawk*, 263 F. Supp. 2d at 657.

Second, the Government (Opp., Doc. 38, at 38) incorrectly describes 11 independently and well-reasoned cases from different federal courts around the country as “progeny” of a district court case from California, *United States v. Campbell Soup*, No. 95-1854, 1997 WL 258894. This characterization is baseless – judicial opinions are not somehow to be discounted

as unthoughtful progeny simply because they cite or express similar reasoning to a prior decision.⁶

The cases that have found that PSD and NNSR are one-time requirements that accrue upon commencement of construction have considered and rejected the same arguments made by the Government in this case, including: (1) the Government's argument (Opp., Doc. 38 at 26) that the best available control technology ("BACT") requirement is a continuous, freestanding obligation, *see TVA (11th Cir.)*, 502 F.3d at 1325-26; *Niagara Mohawk*, 263 F. Supp. 2d at 665; *Otter Trail*, 2009 WL 939575, at *7-8; (2) the Government's argument (Opp., Doc. 38, at 26) that other requirements of the PSD program, such as a demonstration that emissions from construction or operation will not cause or contribute to air pollution in excess of certain specified standards, impose continuing obligations, *see Ill. Power Co.*, 245 F. Supp. 2d at 957; *Westvaco*, 144 F. Supp. 2d at 444 n.3; (3) the Government's argument (Opp., Doc. 38, at 27) that the CAA's enforcement provisions contemplate that NSR requirements impose continuing obligations, *see Ill. Power Co.*, 245 F. Supp. 2d at 957 (citing CAA enforcement provision relating specifically to the PSD program); *Westvaco*, 144 F. Supp. 2d at 444-45 (same); *Niagara Mohawk*, 263 F. Supp. 2d at 661 n.19 (same); and (4) the Government's argument (Opp., Doc.

⁶ The Government also mistakenly asserts (Opp., Doc. 38, at 38) that the cases on which CEMEX rely rested on "fundamental assumption[s]" about state SIPs that are not applicable in Colorado. The opinions cited by CEMEX, however, undertake a separate and independent analysis of the plain terms of the CAA's NSR provisions. Moreover, as explained below in Section I.D., Colorado's SIP is materially indistinguishable from those found to impose no continuing obligations to comply with preconstruction requirements.

38, at 29) that EPA's regulations impose freestanding, continuing PSD requirements,⁷ *see Ill. Power Co.*, 245 F. Supp. 2d at 957; *Niagara Mohawk*, 263 F. Supp. 2d at 657, 661.

As CEMEX explained in its Memorandum (Doc. 20, at 15 n.9), EPA's own regulations unambiguously reinforce the preconstruction nature of the NSR program because, in their applicability provision, they reiterate the touchstone of the NSR duty that "no stationary source or modification . . . *shall begin actual construction* without a permit," 40 C.F.R. § 52.21(a)(2)(iii) (emphasis added), and they also specify requirements that are applicable to "proposed" sources, *id.* §§ 52.21(k), (n), (o)(3).⁸

The Government's characterization of cases that it cites in support of its Opposition is at times flatly wrong and at other times highly misleading. It claims (Opp., Doc. 38, at 4),

⁷ The Government's suggestion (Opp., Doc. 38, at 29 n.18) that it is entitled to deference on its interpretation that the PSD regulations include continuing obligations is erroneous. First-time interpretations made in the context of litigation are not entitled to deference. *Res. Inv. Inc. v. U.S. Army Corps of Eng'rs*, 151 F.3d 1162, 1165 (9th Cir. 1998) (holding that agency deference "does not extend to agency litigating positions") (internal quotations and citations omitted). Moreover, the agency is not entitled to deference on a question – such as whether NSR obligations attach prior to the commencement of construction – that has been clearly decided by Congress based on the plain terms of the statute. Congress's intent is further evidenced by its specific rejection of language in the CAA that would have imposed ongoing obligations on sources under the PSD program, a point raised in CEMEX's Memorandum (Doc. 20, at 18), to which the Government does not respond. Finally, the Government's interpretation of its regulations (Opp., Doc. 38, at 8-9) is largely irrelevant, given that Colorado's regulations control in this case.

⁸ CEMEX agrees with the Government (Opp., Doc. 38, at 30 n.19) that the CAA's NNSR provisions must be read consistently with the PSD provisions. As explained in CEMEX's Memorandum (Doc. 20, at 16), and as many federal courts agree, like the PSD program, the NNSR program imposes obligations that must be met prior to the commencement of construction and do not continue. *See TVA (11th Cir.)*, 502 F.3d at 1319 n.1, 1324; *Cinergy Corp.*, 397 F.3d at 1030; *Campbell Soup*, No. 95-1854, 1997 WL 258894, at *2; *Ogden Projects*, 911 F. Supp. at 876. Indeed, the Government admits (Opp., Doc. 38, at 30) that "NNSR permits must be secured *prior to* the construction or modification of a source." The Government appears to rest its argument that a failure to obtain a NNSR construction permit is an ongoing violation that continues indefinitely on a case, *Cmt'ys for a Better Env't v. Cenco Ref. Co.*, 180 F. Supp. 2d 1062, 1081 (C.D. Cal. 2001), that has nothing to do with the statute of limitations.

“Because a majority of courts agree that a statute of limitations does not run against operating violations which, by their very nature, are continuing violations, they have held that the general statute of limitations does not bar civil penalties for PSD, NNSR, or Title V claims similar to those asserted here by the United States.” The continuing violation theory, however, is not the majority rule. The Government cites only three cases – *Detroit Edison Co. v. Mich. Dep’t of Env’tl. Quality*, 39 F. Supp. 2d 875 (E.D. Mich. 1999), *United States v. Titanium Metals Corp.*, No. CV-S-98-682-HDM (RLH) (D. Nev. Sept. 16, 1998) and *United States v. Duke Energy Corp.*, 278 F.Supp. 2d 619, 623 (M.D.N.C. 2003), *aff’d on other grounds*, 411 F.3d 539 (4th Cir. 2005), *vacated sub nom., Env’tl Def. v. Duke Energy Corp.*, 549 U.S. 561 (2007) – that arguably advance its theory that NSR violations are continuing violations; but, as explained below, those cases are unpersuasive and rest on facts that differ from those in this case.

Detroit Edison Co. v. Mich. Dep’t of Env’tl. Quality, 39 F. Supp. 2d 875 (E.D. Mich. 1999) was filed less than five years after construction commenced, and thus the court had no occasion to, and did not, address the continuing violation doctrine. *United States v. Titanium Metals* is a two-page slip opinion with virtually no explanation of the facts underlying the case or legal reasoning. *United States v. Duke Energy* is distinguishable because the court relied on its interpretation of the underlying state regulations as imposing continuing obligations on sources to obtain a construction permit, an obligation that does not exist in Colorado. 278 F. Supp. 2d at 652 (see discussion, below, Section I.D.). The court, moreover, acknowledged that its decision did not follow the “majority rule” that violations of preconstruction permitting requirements occur when actual construction is commenced, and not at some later time. *Duke Energy*, 278 F. Supp. 2d at 649-50 & n.27.

Likewise, the “accrue anew each day” theory is not the majority rule. The Government cites only six cases – three of which were decided by a single judge in the Southern District of Ohio, as well as *Nat’l Parks Conservation Ass’n, Inc. v. Tenn. Valley Auth.*, 480 F.3d 410 (6th Cir. 2007) (hereinafter “TVA (6th Cir.)”), *United States v. E. Ky. Power Co-op, Inc.*, 498 F. Supp. 2d 1010 (E.D. Ky. 2007), and *United States v. CEMEX Cal. Cement, LLC*, No. CV 07-0023 (C.D. Cal. July 10, 2007) – that arguably advance its theory that NSR violations are violations that accrue anew each day. As explained below, those cases are also unpersuasive and different from the present one.

With respect to the series of cases from the Southern District of Ohio decided by the same judge – *United States v. Am. Elec. Power Serv. Corp.*, 137 F. Supp. 2d 1060, 1066 (S.D. Ohio 2001); *United States v. Ohio Edison Co.*, No. 2:99-CV-1181, 2003 WL 23415140, at *5-6 (S.D. Ohio Jan. 17, 2003); and *Sierra Club v. Dayton Power & Light, Inc.*, No. 2:04 CV 905, 2005 WL 1972549 (S.D. Ohio Aug. 12, 2005) – the Government’s Opposition contains a notable omission that undermines those opinions’ persuasive authority. It does not cite or otherwise acknowledge a more recent case from the same district involving the same issues presented here, in which the court departed from the rationale of the prior decisions:

The Court . . . respectfully disagrees with the continuing-violations analysis that supports striking the statute of limitations defense. The statutory scheme under which the United States proceeds targets a *construction* permit and to construe that narrow scheme as sweeping within its scope continuing violations as the government urges this Court to do would be to turn the statute into an *operating* regulatory scheme. The Court declines to broaden the scope of the statute in such an impermissible way and instead recognizes the legislative scheme in place.

Am. Elec. Power Serv. Corp., 2006 WL 1331543, at *7.

In *TVA (6th Cir.)*,⁹ a divided Sixth Circuit held that plaintiffs' PSD claims were timely, at least within the five-year period preceding filing of the lawsuit, under the theory that the alleged violations accrued anew each day. 480 F.3d at 419. The Sixth Circuit's 2-1 decision reversed the lower court's decision. *Id.* at 420. The court's reasoning in *TVA (6th Cir.)* was flawed and rested on the unique facts of the case. As explained in CEMEX's Memorandum (Doc. 20, at 21-22), the Eleventh Circuit correctly identified the flaws in the Sixth Circuit's reasoning, *TVA (11th Cir.)*, 502 F.3d at 1325 n.2, and distinguished that case from others based on unique aspects of the Tennessee SIP, the set of regulations that was under review by the Sixth Circuit, *id.* at 1324-25. *See also* Section I.D., below.

The other cases that the Government cites to support its accrue anew each day theory are also unpersuasive. *United States v. E. Ky. Power Co-op* and *United States v. CEMEX Cal.* – neither of which cited or analyzed the Eleventh Circuit's decision in *TVA (11th Cir.)* – relied heavily on two discredited cases, *TVA (6th Cir.)* and *United States v. Marine Shale Processors*, 81 F.3d 1329 (5th Cir. 1996). For the reasons discussed above and as articulated by the Eleventh Circuit, *TVA (6th Cir.)* was wrongly decided and is distinguishable on its facts, so it should not be followed here. Moreover, in *United States v. Marine Shale Processors*, the Fifth Circuit did not hold that PSD violations continue. The portion of the case dealing with the statute of limitations discusses only "allegations of minor source violations" – which are distinct from NSR violations by major sources, as alleged here. *Id.* at 1357. *Marine Shale* has, furthermore, been extensively criticized for its lack of clarity. *See, e.g., Murphy Oil U.S.A.*, 143 F. Supp. 2d at 1083 ("It is not

⁹ Contrary to the Government's argument (Opp., Doc. 38, at 5) that CEMEX's Motion rests on an impermissibly "narrow" reading of the CAA, it bears noting that CEMEX's interpretation of the CAA's NSR provisions and their relationship to the federal statute of limitations is the very same as that advanced by the Tennessee Valley Authority, a quasi *federal* agency, in both *TVA (6th Cir.)* and *TVA (11th Cir.)*.

clear whether the government charged Marine Shale with violating the relevant construction permit requirements or the operation permit requirements, or both, a *distinction that is crucial* in determining the continuing nature of the violation.”) (emphasis added); *Brotech*, 2000 WL 1368023, at *3; *Ill. Power Co.*, 245 F. Supp. 2d at 956 n.2; *Niagara Mohawk*, 263 F. Supp. 2d at 662 n.20.¹⁰

In sum, none of the case law offered by the Government undermines or outweighs the statutory authority and the precedent on which CEMEX’s Motion is based.

B. The clear terms of the statute foreclose the Government’s argument that it has properly pled continuing violations.

In deciding whether the continuing violation doctrine applies, courts focus on the terms of the statute and the specific acts claimed to have been unlawful. *See Nat’l R.R. Passenger Corp. v. Morgan*, 536 U.S. 101, 110 (2002) (in applying Title VII’s limitations period, the “critical questions . . . are: What constitutes an ‘unlawful employment practice’ and when has that practice occurred?”). In this case, the Court must therefore look at the CAA to discern the nature of the alleged violations. The prohibited act under CAA’s PSD and NNSR programs is *construction*, not operation. As the Government admits, “The *core* of the PSD program is that ‘[n]o major emitting facility . . . may be *constructed* in any area to which this part applies unless’ certain specific requirements are met.” Opp., Doc. 38, at 7 (emphasis added).

The Government incorrectly asserts (Opp., Doc. 38, at 26) that operation without BACT is a “freestanding” violation that continues during operation. As the Eleventh Circuit explained, BACT is not a lawful condition of operation, but a prerequisite for approval of a proposed

¹⁰ For the reasons discussed here, the Government reliance on *TVA* (6th Cir.) and *Marine Shale* to argue (Opp., Doc. 38, at 32-33) that a majority of circuits agree that the continuing violation concept is applicable to CAA NSR violations is highly misleading. Those cases should not guide the Court’s decision.

modification. *TVA* (11th Cir.), 502 F.3d at 1324. BACT, like lowest achievable emission rate (“LAER”) for non-attainment areas, is determined *on a case-by-case basis during the construction permitting process* by the relevant permitting authority, taking into account source-specific parameters and costs, and based on a review of the capabilities of the control equipment then available. See 42 U.S.C. § 7479(3) (definition of BACT). Thus, the Government’s NSR claims invoking alleged BACT and LAER violations are not claims that CEMEX is operating in violation of any established emission limit contained in federal or state law.

Accordingly, it is clear that the Government’s BACT and LAER allegations still suffer from problems of staleness, regardless of whether the Government casts them as continuing violations. Moreover, as a court in this district has recognized, continuing ill effects do not on their own make a violation continuing. See *United States v. Telluride Co.*, 884 F. Supp. 404, 408 (D. Colo. 1995), *rev’d on other grounds*, 146 F.3d 1241 (10th Cir. 1998) (“The fact that a continuing impact exists from [defendant’s] past violations does not render the violation continuing.”) (citing *United Airlines, Inc. v. Evans*, 431 U.S. 553, 558 (1977)). Thus, alleged ongoing harm to the public does not, as the Government suggests (Opp., Doc. 38, at 31), warrant application of the continuing violation doctrine here.¹¹

Because the Court must look at the specific acts alleged to be unlawful (here “construction” without a permit), the Government’s reliance on a series of cases decided under statutes other than the CAA – some of which do not even involve statutes of limitations – is unpersuasive. See Opp., Doc. 38, at 22 (citing *Headwaters, Inc. v. Talent Irrigation Dist.*, 243

¹¹ The Government asserts (Opp., Doc. 38, at 3) that CEMEX’s “omissions have resulted in the ongoing release of unlawful quantities of pollutants into the environment.” The Government has no basis for this statement, however, since obtaining a CAA NSR permit does not necessarily require a source to reduce its emissions.

F.3d 526 (9th Cir. 2001) and *Sasser v. EPA*, 990 F.2d 127 (4th Cir. 1993)).¹² Those statutes impose their own unique obligations, which some courts have interpreted as imposing continuing duties. For example, the Resource Conservation and Recovery Act (“RCRA”) generally makes it unlawful to dispose of hazardous waste without a permit. 42 U.S.C. § 6925. The statute defines “disposal” to include “leaking” of any solid or hazardous waste. *Id.* § 6903(3). Thus, in *United States v. Power Eng’g Co.*, 10 F. Supp. 2d 1145, 1157 (D. Colo. 1998), *aff’d*, 191 F.3d 1224 (10th Cir. 1999), *cert. denied.*, 529 U.S. 1086 (2000), cited by the Government (Opp., Doc. 38, at 23-24), the court found that the defendants “currently dispose of hazardous waste without a permit” where there was continued migration of waste in the soil. As the court explained,

Because the definition of ‘disposal’ includes the word ‘leaking,’ disposal occurs not only when the . . . waste is first deposited onto ground or into water, but also when such wastes migrate from their initial disposal location. . . . [Thus,] the leaching of hazardous waste into groundwater from this soil constitutes continuing disposal of hazardous waste.

Power Eng’g Co., 10 F. Supp. 2d at 1159-60. The court’s conclusion is entirely understandable based on the distinct statutory provisions at issue in that case.

Moreover, in *United States v. Telluride*, cited in the Government’s Opposition (Doc. 38, at 24) concerning continuing violations, the court found that a singular past unlawful discharge was not a continuing violation of the statute for purposes of application of the statute of limitations. 884 F.Supp. at 408. In fact, the Tenth Circuit has never approved the application of the continuing violation doctrine in the CAA context – or to circumvent the application of the

¹² For the same reasons that it would be inappropriate for the Court to rely on statutory cases outside of the CAA context to find that alleged NSR violations are continuing violations in this case, it would also be inappropriate for the Court to follow the Government’s suggestion (Opp., Doc. 38, at 29) to look to common law causes of actions imposing the continuing violation concept.

statute of limitations (including § 2462) in any environmental case. The civil penalty portions of the first and second claims should be dismissed.

C. The Government’s approach would eviscerate the statute of limitations and all safeguards that it is intended to protect.

The Government claims, “Defendant’s position regarding construction and operating permit violations wrongly suggests that a regulated entity should be rewarded for its errors and omissions by being allowed *to escape any civil penalty* for ignoring federal and state regulatory requirements.” Opp., Doc. 38, at 5 (emphasis added). The issue, however, is not *whether* the United States may sue, but *when* it may do so. CEMEX urges simply that the United States cannot file a suit for civil penalties more than five years after construction has commenced. Thus, CEMEX’s position does not allow violators to escape civil penalties, but rather ensures that operators are not left exposed indefinitely to stale claims.

When a facility is sued for allegedly violating NSR requirements 12 years after commencing a project, as is the case here, the facility is not required to defend current operations, but rather the characterization of events that took place long ago. With the passage of time, however, evidence about past projects and information about whether and how the NSR requirements might have applied is lost, and the defendant is prejudiced. This is precisely why Congress places reasonable limits on the right to seek civil penalties in lawsuits like this one.

The *Telluride* court cogently expressed why it would be inappropriate to apply the continuing violation doctrine to extend the life of claims for past CWA violations, even where there are continuing ill effects:

It is undisputed the damage caused by filling wetlands continues long beyond the actual discharge. Nevertheless, *to adopt the government’s position, would be to rob 28 U.S.C. § 2462*, the agreed statute of limitations provision, *of any meaning* in the CWA context. Section 2462 provides: “an action . . . for the enforcement of any civil fine, penalty . . . shall not be entertained unless commenced within five years from the date

when the claim first accrued.” *Id.* If the statute of limitations were to begin to run only when the defendant has removed fill and restored the wetland, it might never begin to run at all.

Telluride, 884 F.Supp. at 408. As in *Telluride*, if (as the Government argues) the statute of limitations did not begin to run on a CAA NSR claim during the operational life of a facility, the statute might never begin to run at all. *Niagara Mohawk*, 263 F. Supp. 2d at 661 (“The State’s position, taken to its logical end, suggest a *de facto* elimination of any statute of limitation, for the limitation period would never begin to accrue as long as the facility remained in operation.”). This Court should reject the Government’s attempt to eviscerate the safeguards afforded by Congress.

D. Nothing in the Colorado SIP makes its PSD and NNSR requirements subject to continuing violation claims.

The Government suggests (Opp., Doc. 38, at 44; 37-39) that the Court should follow the decisions in *TVA* (6th Cir.) and *Duke Energy* because the Colorado SIP contains provisions similar to those in the Tennessee and North Carolina SIPs at issue in those cases and which played a role in their outcome. In fact, the Colorado SIP differs from the Tennessee and North Carolina SIPs in crucial ways.

First, as CEMEX previously explained (Mem. Doc. 20, at 21), and as the Eleventh Circuit noted in *TVA* (11th Cir.), 502 F.3d at 1325, the Sixth Circuit’s decision in *TVA* (6th Cir.) rested at least in part on the Tennessee SIP’s apparent continuing obligation to obtain a construction permit, even post construction. See *TVA* (6th Cir.), 480 F.3d at 419 (citing provision of Tennessee SIP stating, “In the case where a source or modification was constructed without first obtaining a construction permit, a construction permit may be issued to the source or modification to establish as conditions of the permit, the necessary emissions limits and requirements to assure that these regulatory requirements are met.”) (citation omitted). Nothing

in Colorado SIP imposes a similar, ongoing duty on the part of sources to obtain a CAA NSR permit after construction.

Second, as noted in *Duke Energy*, the North Carolina SIP expressly requires new or modified major sources to obtain construction permits as a prerequisite to *construction and operation*. See *Duke Energy*, 278 F. Supp. 2d at 652 (“North Carolina’s permit procedures provide that ‘a new, modified, or existing facility or source shall not begin *construction or operation* without first obtaining a *construction and operation permit*.’”) (citing N.C. Admin. Code tit. 15A, r.2Q.0301) (first emphasis added). The Colorado SIP, by contrast, requires major new stationary sources and major modifications to obtain a construction permit prior only to construction, not operation. See CAQCC Reg. 3 Section III.A.1 (1995) (“[N]o person shall *commence construction* of any stationary source or modification of a stationary source without first obtaining or having a valid permit from the Division.”) (emphasis added); CAQCC Reg. 3, Part B, Section III.A.1 (1998) (“[N]o person shall *commence construction* of any stationary source or modification of a stationary source without first obtaining or having a valid construction permit from the Division.”) (emphasis added).

The provision of the Colorado SIP that the Government (Opp., Doc. 38, at 36-37) points to as evidence that Colorado’s preconstruction requirements “carry over” into the operational life of the source does not support its claims. That provision merely requires the Division to finalize its approval of a construction permit after construction. See CAQCC Reg. 3, Part B, Section IV.H.5 (1998). Neither it, nor any other provision of the Colorado SIP, requires a source to obtain a construction permit as a precondition to operation or creates a continuing obligation to obtain a construction permit. Thus, the civil penalty portions of the Government’s First and

Second Claims for Relief do not survive on their own under the applicable state regulations, and they must be dismissed.

II. The Government's Title V Claims Are Not Rooted in the Statute and Are, In Fact, Expressly Barred By It.

The Title V allegations in the Government's First and Second Claims for Relief are all based on an alleged violation of CAA § 502, 42 U.S.C. § 7661(a). As CEMEX explained in its Memorandum (Doc. 20, at 25-26), a source violates § 7661a either by operating without a permit or by operating in violation of a Title V permit. 42 U.S.C. § 7661a ("it shall be unlawful for any person to violate any requirement of a permit issued under [Title V], or to operate . . . a . . . source . . . except in compliance with a permit issued by a permitting authority under [Title V]"). CEMEX is doing neither.

Instead, the Government claims (Opp., Doc. 38, at 48) that CEMEX is operating with an "incomplete" Title V permit. This claim does not follow from the text of the statute. Indeed, the Government all but admits as much when it states, "[o]perating without a Title V permit – which *we assert* includes operating with an incomplete permit as Defendant has done here – is unlawful." Opp., Doc. 38, at 47 (emphasis added). The Government may not change the meaning of the statute in violation of clear congressional intent. *Chevron U.S.A., Inc. v. Natural Res. Def. Council, Inc.*, 467 U.S. 837, 842-43 (1984).¹³

¹³ Given that the Government's Title V claims have no basis in the statute, the Government's argument (Opp., Doc. 38, at 13) that the First and Second Claims for Relief in its First Amended Complaint are not materially different from the corresponding claims in its original Complaint (Doc. 1), because the Title V claims were "implicit" all along, is spurious. Moreover, the assertion (Opp., Doc. 38, at 13) that the addition of Title V claims to the First and Second Claims for Relief are not "new allegations" and simply "make[] explicit what was implicit" is belied by the Government's later admission (Opp., Doc. 38, at 46) that these allegations "stand on their own."

The Government's Opposition fails to respond meaningfully to CEMEX's main argument that it is entitled to the permit shield found in the first sentence of 42 U.S.C. § 7661c(f), which specifies,

Compliance with a permit issued in accordance with [Title V] shall be deemed compliance with section 7661a of this title.

42 U.S.C. § 7661c(f). Because the Government has not alleged that CEMEX is operating without or in noncompliance with its Title V operating permit, it is barred from bringing an action under CAA § 502, 42 U.S.C. § 7661a. Instead of responding directly to the permit shield defense, the Government (Opp., Doc. 38, at 52) cites two cases that do not address the issue – *Pennsylvania v. Allegheny Energy, Inc.*, No. Civ. A. 05-885, 2006 WL 1509061 (W.D. Pa. Apr. 19, 2006) and *United States v. E. Ky. Power Co-op*, 498 F. Supp. 2d 1010 (E.D. Ky. 2007).¹⁴ *Allegheny Energy*, however, does not address either of the two permit shields that the Government acknowledges (Opp., Doc. 38, at 54) are generally available under 42 U.S.C. § 7661c(f). Similarly, *E. Ky. Power Co-op*, 498 F. Supp. 2d at 1018, ignores the precise permit shield that applies here, found in the first sentence of § 7661c(f), not the optional shield created by the second sentence of that provision.¹⁵

¹⁴ Several of the cases cited by the Government do not involve claims that the defendant was operating with an incomplete Title V permits at all. See Opp., Doc. 38, at 53 (citing *Clean Air Implementation Project v. EPA*, 150 F.3d 1200, 1208 (D.C. Cir. 1998), *Niagara Mohawk*, 263 F. Supp. 2d at 657, and *S. Ind. Gas & Elec. Co.*, 2002 WL 1760752, at *5)).

¹⁵ It is clear that § 7661c(f) establishes two distinct permit shields, as the Government admits (Opp., Doc. 38, at 54). The shield created by the first sentence shields sources from liability under § 7661a. The second, discretionary shield, protects sources from alleged noncompliance with underlying CAA requirements. The language of § 7661c(f) is also clear that a shield from liability under § 7661a is not conditioned on sources being deemed in compliance with other applicable requirements, such as NSR.

In essence, the Government argues (Opp., Doc. 38, at 55) that CEMEX is not entitled to the permit shield in the first sentence of § 7661c(f) because the phrase “issued in accordance with [Title V]” should be read to exclude permits that are issued without PSD or NNSR obligations that the Government now claims should have been applied.¹⁶ However, this interpretation would eviscerate the relevant permit shield and is not entitled to deference. The court in *United States v. CEMEX Cal. Cement, LLC*, No. CV 07-0023, recognized this very point before dismissing the same type of incomplete permit claim advanced here. It noted that the Government’s interpretation of the requirement that a Title V permit be “issued in accordance with [Title V]” would effectively eliminate the first sentence’s permit shield, leaving only the second sentence of § 7661c(f), which provides for “compliance with other applicable provisions of this chapter” by way of compliance with a Title V permit if certain steps are taken in processing and acquiring the Title V permit. *CEMEX Cal.*, slip. op. at 13.¹⁷

Finally, the Government (Opp., Doc. 38, at 18, 51) tries to circumvent the applicable permit shield established by § 7661a by claiming that CEMEX is in violation of 42 U.S.C. § 7661b and corresponding State regulations because its permit application did not include “information regarding PSD and NNSR requirements” – which, it must be remembered, were

¹⁶ The Government’s Opposition (Doc. 38, at 55) quotes language from *Niagara Mohawk* that purportedly supports its theory that CEMEX is not entitled to invoke Title V’s permit shield. The court in that case, however, never had occasion to, and did not, address Title V’s permit shield provision. Rather, it was interpreting the CAA’s citizen suit provision.

¹⁷ Similarly, the Government’s argument (Opp., Doc. 38, at 56) that Colorado’s regulations and CEMEX’s Title V permit do not shield CEMEX from claims that it is operating with an incomplete permit are unconvincing. To make this argument, the Government relies on a definition of “Permit Shield” in the Colorado regulations. This definition, as well as the Title V permit, do not address the permit defense available in the first sentence of § 7661c(f), which CEMEX has explained applies in this case to bar the Government’s claim that it is operating with an incomplete permit.

never determined to apply.¹⁸ This claim is indistinguishable from the claim that CEMEX is operating with an incomplete permit – the Government is essentially arguing that CEMEX’s permit is incomplete because its application was incomplete.¹⁹ Like its claim that CEMEX is operating with an incomplete permit, this claim is not rooted in the statutory text, as noted by the court in *CEMEX Cal.*, slip op. at 14-15 (“[T]he government has not cited to any case which has recognized the viability of a claim under section 7661b, as opposed to under section 7661a.”). Section 7661b does not establish a cause of action for incomplete permit applications, as suggested by the Government. Rather, it merely establishes a deadline by which sources must submit applications to the permitting authority. For the foregoing reasons, the Government’s “Related” Title V claims have no basis in the statute and are, in fact, expressly precluded by it.

To the extent that the Government suggests that its flawed interpretation of CAA Title V is necessary for it to address allegedly incomplete permits, it is simply wrong. The CAA provides EPA with the authority to review and, if necessary, object to the issuance of any draft

¹⁸ The Government claims (Opp., Doc. 38, at 48) that because CEMEX’s Title V renewal application, which “excluded . . . applicable requirements [such as] PSD and NNSR standards” was filed five years before January 6, 2009, the statute of limitations does not apply to its Title V claims. However, as explained above in Section I.B., there is no independent obligation to employ PSD and NNSR standards. BACT and LAER are determined prior to construction – in this case in 1997, according to the First Amended Complaint (Doc. 16, ¶ 57).

¹⁹ The Government’s arguments are also inconsistent with EPA’s own prior interpretation of Title V, expressed in written guidance issued contemporaneously with its model Title V regulations, in which it stated that sources were not required to reconsider determinations regarding the applicability of other provisions of the CAA in preparing their Title V permit applications. See Lydia N. Wegman, *White Paper for Streamlined Development of Part 70 Permit Applications*, U.S. Environmental Protection Agency, Office of Air Quality Planning and Standards, at 25 (July 25, 1995) (attached hereto as Exhibit B). EPA could not have taken this position if it were contrary to Title V and would have automatically rendered permits incomplete, as the Government now claims.

Title V permit.²⁰ 42 U.S.C. § 7661d(b). In fact, EPA reviewed CEMEX's permit and raised no objections. Moreover, EPA has the authority administratively to order the modification, amendment, or revocation of any permit it believes to be defective. *Id.* § 7661d(e). Instead of pursuing that option, the Government has elected to try to fabricate a cause of action under the CAA out of whole cloth. We urge the Court to dismiss the Government's unlawful claims.

III. The Government's Efforts to Toll the Statute of Limitations Are Inappropriate, and They Should Be Rejected By This Court.

In a last effort to revive its claims, the Government suggests that it would be appropriate for this Court to apply the discovery rule or the equitable tolling or equitable estoppel doctrines. These requests are unhinged from the pleadings – none of the Government's filings allege facts necessary to support application of these doctrines.

A discovery rule has been recognized in “cases of fraud or concealment” and in the contexts of “latent disease and medical malpractice.” *TRW Inc. v. Andrews*, 534 U.S. 19, 27-28 (2001). The Government has not cited any case that applied the discovery rule to a CAA claim. In *United States v. Murphy Oil U.S.A., Inc.*, a federal district court in Wisconsin explained why the discovery rule would be inappropriate in the CAA setting – as distinguished from the CWA setting, where sources have a duty to self-report effluent they are discharging: “In this Clean Air Act enforcement action, [the United States] had access to files concerning defendant and made on site visits to the facility to inspect its operation well before it issued the notices of violation . . .” 143 F. Supp. 2d at 1085. Federal courts of appeal have similarly rejected the discovery rule in other environmental cases. *See, e.g., 3M Co. v. Browner*, 7 F. 3d 1453, 1462-63 (D.C. Cir.);

²⁰ *See, e.g., In the Matter of CEMEX, Inc.*, Order Responding to Petitioner's Request that the Administrator Object to Issuance of a State Operating Permit, Before the U.S. Environmental Protection Agency, Petition No. VIII-2008-01 (Apr. 20, 2009) (attached hereto as Exhibit C).

Trawinski v. United Techs., 313 F.3d 1295, 1298 (11th Cir. 2002). In *3M Co. v. Browner*, the court rejected a “discovery of violation” rule in the context of applying § 2462, addressing the difficulty-of-discovery argument suggested by the Government (Opp., Doc. 38, at 59-60) in this case. *3M*, 17 F. 3d 1453, 1461 (“An agency’s failure to detect violations, for whatever reasons, does not avoid the problems of faded memories, lost witnesses and discarded documents in penalty actions brought decades after alleged violations are finally discovered. Most important, nothing in the language of § 2462 even arguably makes the running of the limitations period turn on the degree of difficulty an agency experiences in detecting violations.”). Moreover, the Government has not alleged that CEMEX misrepresented anything or hid information from it. Because the case law does not support application of the discovery rule to CAA NSR claims and because the pleadings do not allege any fraud or concealment by CEMEX, the Government’s appeal should be rejected.

Similarly, the Tenth Circuit has allowed equitable tolling only where a plaintiff was actively misled or lulled into inaction. *Jarrett v. U.S. Sprint Commc’ns Co.*, 22 F.3d 256, 260 (10th Cir. 1994) (citation omitted). Here, again, the Government has not alleged any facts to suggest that application of the equitable tolling doctrine is appropriate and, therefore, its request to apply the doctrine should be rejected.

Finally, nothing in the pleadings suggests that it would be appropriate for this Court to apply the doctrine of equitable estoppel, which the Government asserts (Opp., Doc. 38, at 58) is appropriate where the “parties recognize the basis for suit, but the wrongdoer prevails upon the other to forgo enforcing his right until the statutory time has lapsed,” to save the First and Second Claims for Relief. Here, CEMEX has not “prevail[ed] upon the [United States] to forgo enforcing” the CAA, and the Government has not alleged facts to the contrary. Moreover, as

explained in CEMEX's Memorandum (Doc. 20, at 12), the Government has broad authority to gather information from sources under the CAA, and it has already exercised that authority to gather information from CEMEX. Because it need not rely on the discovery process to collect information, this doctrine is particularly unsuitable here.

CONCLUSION

For the foregoing reasons, the United States' First and Second Claims for Relief should be dismissed to the extent they seek civil penalties.

Dated: June 5, 2009

Respectfully Submitted,

/s/ Chet Thompson

Chet M. Thompson
Crowell & Moring LLP
1001 Pennsylvania Ave., NW
Washington, DC 20004
Telephone: (202) 624-2655
Facsimile: (202) 628-5116
E-mail: cthompson@crowell.com
Attorney for Defendant CEMEX, Inc.

**IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF COLORADO**

CERTIFICATE OF SERVICE

I hereby certify that on June 5, 2009, I electronically filed the foregoing Reply Memorandum in Support of Motion to Dismiss of Defendant CEMEX, Inc. Pursuant to Fed. R. Civ. P. 12(b)(6) with the Clerk of the Court using the CM/ECF system, which will send notification of such filing to the following e-mail addresses:

Robert.Homiak@usdoj.gov,
John.Moscato@usdoj.gov,
Corrine.Lill@usdoj.gov,
gottschalk@wtklaw.com,
hart@wtklaw.com,
gottesfeld@wtklaw.com,
valerio@wtklaw.com,
wheatley@wtklaw.com, and
cthompson@crowell.com.

Dated: June 5, 2009

/s/ Chet Thompson

Chet M. Thompson
Crowell & Moring LLP
1001 Pennsylvania Ave., NW
Washington, DC 20004
Telephone: (202) 624-2655
Facsimile: (202) 628-5116
E-mail: cthompson@crowell.com
Attorney for Defendant CEMEX, Inc.